6. Which of the following statements is not true in relation to admission of a partner

(a) Generally mutual rights of the partners change

(b) The profits and losses of the previous years are distributed to the old partners

(c) The firm is reconstituted under a new agreement

(d) The existing agreement does not come to an end

7. Match List I with List II and select the correct answer using the codes given below:

List I	List II
(i) Sacrificing ratio	1. Investment fluctuation fund
(ii) Old profit sharing ratio	2. Accumulated profit
(iii) Revaluation Account	3. Goodwill
(iv) Capital Account	4. Unrecorded liability

Codes:

	(i)	(ii)	(iii)	(iv)
(a)	1	2	3	4
(b)	3	2	4	1
(c)	4	3	2	1
(d)	3	1	2	4

8. Select the odd one out

(a) Revaluation profit (b) Accumulated loss

(c) Goodwill brought by new partner (d) Investment fluctuation fund

9. James and Kamal are sharing profits and losses in the ratio of 5:3. They admit Sunil as a partner giving him 1/5 share of profits. Find out the sacrificing ratio.

(a) 1:3 (b) 3:1

(c) 5:3 (d) 3:5

10. Balaji and Kamalesh are partners sharing profits and losses in the ratio of 2:1. They admit Yogesh into partnership. The new profit sharing ratio between Balaji, Kamalesh and Yogesh is agreed to 3:1:1. Find the sacrificing ratio between Balaji and Kamalesh.

(a) 1:3 (b) 3:1

(c) 2:1 (d) 1:2

Answer

1. (b)	2. (a)	3. (a)	4. (b)	5.(d)	6. (d)	7. (b)	8. (c)	9. (c)	10. (d)

12th-Accountancy-Unit-05.indd 172 1/4/2020 12:00:41 PM